

PRODUCT DISCLOSURE SHEET (PDS) – Smartphone Hire Purchase (HP) Facility

This Product Disclosure Sheet summarizes the key information for the Hire Purchase facility offered by First Class Credit Sdn Bhd. (“**Institution**”, “**we**”, “**us**”, or “**our**”). Please read this document and the attached general terms and conditions carefully before committing to the product. The operation of this Hire Purchase is governed by the Hire Purchase Act 1967. The smartphone is financed as a Consumer Good under the statutory definition of the Act.

1. Understand the Product

This program lets you buy a smartphone through fixed monthly payments.

- **Ownership:** The phone belongs to the Institution until you make your final payment. Ownership then transfers to you.
- **Gifting:** You can gift the phone to someone else. However, you are still legally responsible for making all monthly payments.
- **No Reselling:** You cannot sell, trade, or pawn the phone while your contract is active without written consent from the Institution.

2. Review Your Obligations

The key financial details of your smartphone instalment plan are outlined below:

<u>Item</u>	<u>Details/Figures</u>
Financed Amount	--- (Device price minus downpayment)
Upfront Downpayment	--- (10% of device price)
Financing Tenure	--- Months
Flat Interest Rate	10% per annum
Monthly Instalment	---
Total Repayment Amount	(Principal + Total Interest)

3. Applicable Fees and Charges

Fees and setup costs for this Product include:

<u>Fee Type</u>	<u>Amount/Details</u>
Stamp Duty (Without Guarantor)	RM 20.00
Stamp Duty (With Guarantor)	RM 60.00
Postage	RM 10.00
Total Fees payable	RM ---

4. Know Your Risks and Make an Informed Decision

What happen if you fail to pay your monthly instalments?

1. **You will pay more due to late interest:** An extra 8% per annum interest rate will be calculated and charged daily on any overdue instalment amounts until paid.
2. **Your phone will be remotely locked:** The Institution has the right to remotely lock your smartphone via security software if you miss two (2) consecutive monthly payments.
3. **You still face physical repossession:** Locking the phone does not waive our legal rights. The Institution retains the full right to physically repossess the smartphone if your defaults are not resolved.
4. **You must pay for all recovery costs:** You are strictly responsible for covering all collection, administrative, and legal expenses that the Institution spends during the device recovery process.
5. **You are liable for any remaining debt:** If we sell the repossessed phone and the price does not cover what you owe, you must pay the leftover shortfall balance to avoid legal prosecution.
6. **Your credit score will be damaged:** We will report your default history to credit bureaus like CTOS, making your future loan and credit card approvals much more difficult or expensive.
7. **Deceased Accounts:** If the hirer passes away, the estate or next-of-kin must notify us immediately. Enforcement actions, including remote locking, will only be deferred to four (4) consecutive monthly defaults once formal notification of death is received by the Institution.

5. If you wish to settle your hire purchase early, you should know:

Early Settlement Sum: The net balance due is the balance original payable under the agreement less statutory rebate as per the Hire Purchase Act 1967. The rebate shall be calculated in accordance with the following formula: -

$$\text{Rebate} = \frac{\text{Total Interest} \times \text{RP} \times (\text{RP} + 1)}{\text{OP} \times (\text{OP} + 1)}$$

RP = Remaining period (no. of months), from point of early settlement until original full settlement date.

OP = Original period (no. of months) set out in the Hire Purchase Agreement.

6. Other Key Terms

- **Advance Payments:** Any payment exceeding your monthly instalment will automatically be treated as an advance payment. This amount will be applied to your next due instalment or any outstanding fees.
- **Mandatory Device Protection:** You must maintain comprehensive device protection insurance (covering accidental damage, liquid damage, or theft) on the smartphone for the entire financing tenure.
- **Optional Coverage & Refunds:** You are encouraged to take up additional personal or device protection plans. If you cancel financed optional policy, any pro-rated premium refund will be credited directly into your Hire Purchase account as an advance payment. Alternatively, you may purchase these plans on cash terms through our authorized panels.
- **Mandatory Contact Updates:** You must notify the Institution of any change to your mobile number, email, or mailing address within 7 calendar days to ensure you receive critical system alerts and statutory notices.
- **Missing Documents:** If you or your guarantor do not receive a copy of the final Hire Purchase Agreement or Guarantee Form upon registration, contact us immediately using the details below.

7. Inquiries and Assistance

If you have any questions or require assistance with your Hire Purchase or our Product, please refer to our contact information below:

First Class Credit Sdn. Bhd.

Lot 538, Ground Floor, Section 6,
KTLD, Jalan Satok,
93400 Kuching, Sarawak.
Tel No.:
E-mail :

Facing financial difficulties?

Please call us immediately so we can help adjust your payment plan.

Hirer's Acknowledgement

- ☐ I acknowledge that First Class Credit Sdn Bhd has provided me with a copy of the PDS.
- ☐ I have read and understood the key information contained in this PDS.

Guarantor's Acknowledgment (if applicable)

- ☐ I acknowledge that First Class Credit Sdn Bhd has provided me with a copy of the PDS.
- ☐ I have read and understood the key information contained in this PDS.

Hirer's Name : _____
NRIC No. : _____
Date : _____

Guarantor's Name : _____
NRIC No. : _____
Date : _____